

Armstrong

— Financial Services —

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ATTN: CANADIAN TAX FOUNDATION

FROM: David Kakon (David@ArmstrongLife.com)

Submission for the 2026 CRA Roundtable

Subject: Application of s. 237.1 to Immediate Financing Arrangements (IFA) utilizing Demand Loans.

Background:

In past technical interpretations, the CRA has established clear parameters regarding the treatment of demand loans and tax shelters. Specifically, in 2010 Ruling 2009-0340381R3 F - Rente assurée, the CRA ruled that a demand loan constitutes a limited-recourse amount under subsection 143.2(1). Additionally, during the 6 October 2006 Roundtable, 2006-0196251C6 F, the CRA stated that a demand loan could be considered a limited-recourse amount under subsection 143.2(7) if no bona fide written arrangements exist for repayment within a reasonable period not exceeding 10 years.

In the 2010 ruling, the CRA determined that the insured annuity arrangement in question *was not a tax shelter* solely because the represented deductions within the first four years did not equal or exceed the net cost of the arrangement.

Question for the Directorate:

Consider a scenario where a taxpayer enters into an Immediate Financing Arrangement (IFA) to acquire an exempt life insurance policy. The taxpayer borrows funds equal to the policy premium amounts via a standard commercial demand loan with no written 10-year repayment schedule.

If this demand loan is deemed a limited-recourse amount (thereby reducing the recognized net cost of the arrangement), and the statements or representations demonstrate that the projected tax deductions (e.g., s. 20(1)(c) interest and s. 20(1)(e.2) collateral insurance deductions) within the first four years equal or exceed this reduced net cost, will the CRA confirm that this IFA structure strictly meets the definition of a "tax shelter" under subsection 237.1(1)?

David E. Kakon, Math Honours, B.Sc.

Direct: (514) 574-0233

Armstrong Financial Services

Tel. (833) 603-5500

info@ArmstrongLife.com